TECHCORP

Corporate Financial Controls and Accounting Procedures Manual

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1. INTRODUCTION AND PURPOSE

This Corporate Financial Controls and Accounting Procedures Manual establishes the comprehensive framework for all financial operations at TechCorp. These procedures ensure accuracy and integrity of financial records, compliance with Generally Accepted Accounting Principles (GAAP), protection of company assets, and prevention of fraud. All employees, contractors, and third parties involved in financial transactions must comply with these procedures.

The Chief Financial Officer (CFO) maintains ultimate authority over all financial controls. The Controller manages day-to-day implementation and oversight. This manual is reviewed annually, with all amendments requiring CFO approval.

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2. INVOICE PROCESSING WORKFLOWS

2.1 Invoice Receipt and Registration

All vendor invoices must be received through approved channels: email (ap@techcorp.com), mail, EDI, or vendor portal. Invoices received by 3:00 PM PST are registered same business day; those after 3:00 PM are registered next business day.

Within 24 hours of receipt, the AP Clerk must:

- Stamp invoice with date received
- Assign unique tracking number (format: INV-YYYY-XXXXX)
- Log invoice in accounts payable system
- Scan and upload to document management system
- Route to appropriate approver

2.2 Three-Way Match Requirements

All invoices exceeding $1,000 require three-way match verification:

- Purchase Order (PO)
- Receiving Report or Service Completion Certificate
- Vendor Invoice

Matching Criteria:

- Vendor information matches exactly
- Invoice amount matches PO within 5% tolerance ($50 maximum variance)
- Quantities and unit prices match
- Invoice date within PO validity period

Exception Handling:

- Variances under $50: AP Clerk approval with notation
- Variances $50-$250: Department manager approval required
- Variances over $250: Controller approval and vendor contact required

2.3 Invoice Approval Workflow

Level 1: Department Review (1-2 business days) Department manager reviews for goods/services received, verifies budget availability, confirms GL coding, and approves or rejects.

Level 2: Accounting Review (1 business day) AP Specialist verifies three-way match, confirms payment terms, reviews for duplicates, validates tax calculations.

Level 3: Final Authorization (same day) Routed per authorization matrix, final approver reviews and approves payment.

Total Processing Time Target: 3-5 business days from receipt to approval

2.4 Special Invoice Categories

Recurring Invoices: Monthly recurring invoices over $10,000 (utilities, rent, subscriptions) are pre-approved annually by CFO with automated processing and quarterly reviews.

Rush Invoices: Require VP-level approval, incur $100 expedite fee for wire transfers, guaranteed 24-hour processing, limited to 10% of monthly invoice volume.

International Invoices: Require currency conversion at invoice receipt date, wire fee verification, international payment regulation compliance, and tax treaty verification.

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3. PAYMENT AUTHORIZATION LEVELS

All expenditures require approval according to established authority levels:

Department Manager:

- Transaction Limit: $0 - $5,000
- Daily Limit: $15,000
- Monthly Limit: $50,000
- Requirements: Budget availability, proper GL coding

Director:

- Transaction Limit: $5,001 - $25,000
- Daily Limit: $75,000
- Monthly Limit: $200,000
- Requirements: Department manager pre-approval, budget variance report if applicable

Vice President:

- Transaction Limit: $25,001 - $100,000
- Daily Limit: $300,000
- Monthly Limit: $750,000
- Requirements: Director pre-approval, executive summary for transactions over $50,000

Chief Financial Officer:

- Transaction Limit: $100,001 - $500,000
- No daily or monthly limits
- Requirements: VP pre-approval, business case, ROI analysis for capital expenditures

Chief Executive Officer:

- Transaction Limit: Over $500,000
- Requirements: CFO pre-approval, Board notification for transactions over $1,000,000

3.1 Dual Authorization Requirements

Wire Transfers: All domestic wires over $50,000 and international wires over $25,000 require two authorized signatures (initiator plus one level above).

Payroll: Total payroll over $250,000 per cycle, direct deposit changes, and off-cycle payroll require Payroll Manager plus Controller approval.

Bank Account Changes: New vendor banking information, payment detail changes, and ACH setup require AP Manager plus Controller or CFO approval.

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4. CASH MANAGEMENT POLICIES

4.1 Banking Structure

Operating Account (xxxxx-4001):

- Purpose: Daily business operations
- Target Balance: $500,000 - $2,000,000
- Sweep Threshold: $2,500,000 to investment account
- Reconciliation: Daily automated, manual review weekly

Payroll Account (xxxxx-4002):

- Zero-balance account funded 2 days before payroll
- Reconciliation within 24 hours of processing

Investment Account (xxxxx-4003):

- Minimum Balance: $1,000,000
- Monthly reconciliation

Vendor Payment Account (xxxxx-4004):

- Weekly funding from operating account

- Positive Pay enabled
- Daily reconciliation

4.2 Daily Cash Management

Treasury Analyst performs daily by 10:00 AM PST:

- Review all account balances
- Monitor incoming transfers and deposits
- Verify overnight sweep transactions
- Confirm funds for scheduled payments
- Update 13-week rolling cash forecast
- Report variances over $100,000 to Controller

4.3 Investment Guidelines

Excess cash over $2,500,000 invested per policy:

Permitted Investments:

- U.S. Treasury securities (maximum 2-year maturity)
- AAA-rated money market funds
- FDIC-insured certificates of deposit
- A-1/P-1 rated commercial paper

Investment Limits:

- Maximum per issuer: 20% of portfolio
- Maximum maturity: 2 years
- Minimum liquidity: 30% accessible within 7 days

4.4 Wire Transfer Procedures

Domestic Wires:

- Submit by 2:00 PM PST for same-day processing
- All wires over $50,000 require dual authorization
- Fee: $30 per transaction (TechCorp absorbed)

- Treasury verifies banking details via vendor callback

International Wires:

- Submit by 11:00 AM PST for same-day processing
- SWIFT/IBAN verification required
- OFAC sanctions screening mandatory
- Fee: $50 outgoing, plus intermediary bank fees
- FX conversion: 1.5% margin over spot rate
- Delivery: 1-3 business days

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5. PETTY CASH PROCEDURES

5.1 Fund Structure

Corporate Office: Maximum $2,000, custodian is Office Manager **Branch Offices:** Maximum $500 per location, requires CFO approval **Location:** Main office safe, Room G-104

5.2 Allowable Expenses

- Office supplies (emergency only): Maximum $50
- Postage and courier: Maximum $75
- Employee meals (working meals): Maximum $25/person
- Equipment repairs: Maximum $100
- Meeting refreshments: Maximum $150
- Client gifts: Maximum $100
- Business taxi/rideshare: Maximum $50
- Parking fees: Maximum $30

Transaction Limit: $150 per disbursement

Prohibited Uses: Personal expenses, cash advances, alcohol, capital equipment, payments to established vendors, gift cards.

5.3 Disbursement Process

1. Employee completes Petty Cash Voucher with receipt
2. Manager approval required for amounts over $75
3. Custodian verifies and disburses cash
4. Records transaction in petty cash log
5. Original receipts required (within 7 days)

5.4 Reconciliation and Replenishment

Monthly Reconciliation (by 5th business day):

- Count remaining cash
- Total vouchers and receipts
- Verify: Beginning Balance = Ending Cash + Voucher Total
- Document variances
- Submit to Accounting Manager

Replenishment:

- Request when fund reaches 25% of maximum
- Reimbursement check issued within 3 business days
- Check payable to "Petty Cash," cashed at company bank only

Variance Resolution:

- Under $10: Custodian documents explanation
- $10-$50: Accounting Manager investigation
- Over $50: Controller investigation, potential disciplinary action

Internal Audit conducts surprise quarterly counts.

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6. MONTHLY RECONCILIATION REQUIREMENTS

6.1 Bank Reconciliation Timeline

Due Dates:

- Operating Accounts: 5 business days after month-end

- Payroll Account: 3 business days after month-end
- Investment Accounts: 7 business days after month-end
- Vendor Payment Accounts: 5 business days after month-end

Responsibility: Senior Accountant prepares, Accounting Manager reviews, Controller approves.

6.2 Reconciliation Process

Days 1-2: Statement collection and system balance verification **Days 3-4:** Identify outstanding checks, deposits in transit, bank errors, book errors **Days 4-5:** Complete reconciliation, prepare adjusting entries

Standard Format:

Bank Statement Balance	$X,XXX,XXX
Add: Deposits in Transit	$XX,XXX
Subtract: Outstanding Checks	($XX,XXX)
Adjusted Bank Balance	$X,XXX,XXX

General Ledger Balance	$X,XXX,XXX
Add: Bank Credits Not Recorded	$X,XXX
Subtract: Bank Charges Not Recorded	($X,XXX)
Adjusted Book Balance	$X,XXX,XXX

Outstanding Items:

- Checks over 90 days: Research and follow up
- Checks over 180 days: Void and reverse
- Deposits in transit over 5 days: Investigate immediately

6.3 Balance Sheet Account Reconciliations

Critical Accounts (Due 5 business days): Cash, accounts receivable, accounts payable, accrued expenses, deferred revenue, loans, equity accounts

High Priority (Due 7 business days): Inventory, prepaid expenses, fixed assets, accumulated depreciation, accrued payroll, sales tax payable

Standard Accounts (Due 10 business days): Other receivables, long-term investments, intangibles, other assets/liabilities

Each reconciliation must include: account header, beginning balance, activity summary, ending balance, supporting detail, variance analysis, and correcting entries if needed.

6.4 Accounts Receivable Reconciliation

Monthly process includes:

1. Subsidiary ledger to general ledger reconciliation
2. Aging analysis (current, 31-60, 61-90, 91-120, over 120 days)
3. Collectability assessment for accounts over 90 days
4. Review of unapplied payments, credit balances, disputes

Target Metrics:

- Current accounts: >75% of total AR
- Over 90 days: <10% of total AR
- Bad debt expense: <2% of annual revenue

6.5 Accounts Payable Reconciliation

Monthly process includes:

1. Subsidiary to general ledger reconciliation
2. Aging analysis (current, 1-30, 31-60, over 60 days past due)
3. Document aged item explanations
4. Reconcile to vendor statements for top 20 vendors

Target Metrics:

- Current (not due): >85% of total AP
- Early pay discounts captured: >90%
- Over 60 days past due: <2% of total

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7. FINANCIAL REPORTING DEADLINES

7.1 Monthly Close Calendar

Day 1 (First business day):

- Soft close of prior month
- AP reviews unbilled items
- AR finalizes prior month invoicing
- Treasury collects bank statements

Day 2-3:

- Complete bank reconciliations
- Post accruals and adjustments
- Revenue recognition entries
- Expense allocations

Day 4-5:

- Balance sheet reconciliations due
- Variance analysis preparation
- Preliminary financials generated

Day 6:

- Final adjusting entries posted
- Month-end close completed
- Lock prior period

Day 7:

- Prepare financial statement package (Balance Sheet, Income Statement, Cash Flow, Statement of Changes in Equity)
- Budget vs. actual comparison
- KPI dashboard

Day 8:

- Controller comprehensive review
- Management discussion and analysis draft

Day 9-10:

- CFO review and sign-off
- Distribution to executive team, Board, department heads

7.2 Quarterly Reporting

Standard quarterly deadlines extend monthly timeline:

- Q1: April 15th
- Q2: July 15th
- Q3: October 15th
- Q4: Per year-end procedures

Additional quarterly materials include comprehensive variance analysis, trend analysis, revenue/expense deep dives, and forecast updates.

7.3 Annual Reporting

- Preliminary close: January 10th
- External audit fieldwork: January 15th
- Draft audited financials: February 15th
- Final audited financials: March 1st
- Annual report: March 15th
- Tax returns: March 15th (with extension)

7.4 Board Reporting

Monthly package due 5 days before board meeting includes: executive summary, financial statements, budget variance analysis, KPIs, AR aging, debt covenant compliance, capital expenditure report, 13-week cash forecast.

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8. ACCOUNTS PAYABLE PROCESSES

8.1 Vendor Setup

Required documentation before first payment:

- W-9 (U.S.) or W-8 (foreign) form
- Certificate of Insurance (if required)
- Vendor Information Form
- Signed agreement (if applicable)
- Bank account information on letterhead
- Business license (for vendors over $25,000/year)

Setup timeline: 5-7 business days. Annual vendor file review includes W-9 re-certification every 3 years, insurance renewal verification, banking confirmation, and inactive vendor purge (no activity 24 months).

8.2 Purchase Order Requirements

Mandatory for:

- All purchases over $1,000
- Technology hardware/software
- Professional services contracts
- Recurring services
- Capital equipment
- Inventory purchases

Exempt:

- Utilities, telecom, government fees, insurance, employee reimbursements, legal settlements, emergency purchases (with 24-hour post-approval)

Approval Requirements:

- Under $5,000: Department Manager
- $5,000-$25,000: Director
- $25,000-$100,000: VP
- Over $100,000: CFO

8.3 Payment Processing Schedule

Weekly Payment Runs:

- Monday run: Checks prepared for Tuesday
- Thursday run: Checks prepared for Friday
- Cut-off: 2:00 PM day prior for inclusion

Payment Methods:

- Checks: Maximum $50,000 (wire required above)
- ACH: 2-day standard processing
- Wire: Same-day until 2:00 PM PST

Early Payment Discounts: All discount opportunities 1% or greater are captured. Target payment on day 10 for 2/10 Net 30 terms.

8.4 1099 Reporting

1099-Eligible Vendors:

- Unincorporated businesses
- Service payments over $600/year
- Legal fees
- Rent to individuals

Annual Process:

- December: Generate payment report, verify W-9s
- January 1-15: Generate forms, file with IRS by 1/31, mail to vendors by 1/31

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9. ACCOUNTS RECEIVABLE PROCESSES

9.1 Credit Management

New Customer Credit Application requires:

- Credit Application Form
- Authorization for credit check
- Trade references (minimum 3)

- Bank reference
- Financial statements (if over $50,000)

Credit Approval Authority:

- Under $10,000: Credit Manager
- $10,000-$50,000: Controller
- $50,001-$100,000: CFO
- Over $100,000: CFO with CEO concurrence

Standard Terms: Net 30 days **Established customers:** Net 45 (12+ months good history) **High-risk:** Prepayment or COD

Credit decision within 3 business days of complete application.

9.2 Billing Procedures

Invoice Timing:

- Service completion: Within 24 hours
- Monthly recurring: 1st of month
- Project milestones: Within 2 days
- Time & materials: Monthly by 3rd business day

Invoice Requirements: Unique number (INV-YYYY-XXXXX), dates, customer information, PO reference, itemized charges, payment terms, contact information, remittance instructions.

9.3 Collections Process

Day 1-30 (Current):

- Standard payment terms apply
- No collection action

Day 45 (15 days past due):

- First collection call by AR Specialist
- Document conversation in system
- Send past due notice

Day 60 (30 days past due):

- Second collection call by AR Manager
- Email to customer's executive contact
- Hold future orders until payment received

Day 75 (45 days past due):

- Final notice letter (certified mail)
- Account placed on credit hold
- Escalate to Collections Manager

Day 90 (60 days past due):

- Legal demand letter sent
- Consider third-party collections or legal action
- Assess reserve for bad debt

Over 120 days:

- Legal action initiated if balance exceeds $10,000
- Write-off consideration for accounts under $1,000
- CFO approval required for write-offs

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10. ASSET CAPITALIZATION AND MANAGEMENT

10.1 Capitalization Policy

Assets meeting all criteria are capitalized:

- Useful life exceeds one year
- Acquisition cost $5,000 or greater
- Controlled by company
- Expected to provide future economic benefit

Capitalization Thresholds: All asset categories: $5,000 minimum (buildings, machinery, equipment, computer hardware, software, furniture, fixtures, vehicles, leasehold improvements)

Expense if Under Threshold: Items under $5,000 expensed immediately regardless of useful life.

10.2 Asset Classifications and Useful Lives

Land: Not depreciated **Buildings:** 39 years (straight-line) **Building improvements:** 15 years (straight-line) **Leasehold improvements:** Lesser of lease term or useful life **Machinery and equipment:** 7 years (straight-line) **Computer hardware:** 3 years (straight-line) **Computer software:** 3 years (straight-line) **Office furniture:** 7 years (straight-line) **Vehicles:** 5 years (straight-line)

10.3 Asset Acquisition Process

1. Capital expenditure request submitted with business case
2. Approval per authorization matrix
3. Purchase order issued
4. Asset received and inspected
5. Invoice processed for payment
6. Asset tagged with unique identifier (format: ASSET-XXXXX)
7. Asset recorded in fixed asset system within 5 days
8. Depreciation begins month following in-service date

Required Information: Asset description and serial number, vendor and invoice number, acquisition date and cost, asset location and custodian, asset class and useful life, funding source.

10.4 Asset Disposal and Retirement

Authorization Requirements:

- Under $25,000: Department Director
- $25,000-$100,000: VP
- Over $100,000: CFO

Disposal Process:

1. Complete Asset Disposal Form
2. Obtain appropriate authorization

3. Remove asset tag and document disposal method
4. Record disposal in fixed asset system
5. Calculate gain/loss on disposal
6. Update asset register and insurance schedule

Disposal Methods: Sale, trade-in, donation (obtain receipt), scrap/discard (document destruction).

10.5 Physical Asset Verification

Annual physical inventory (Q4 each year):

- All assets over $5,000 physically verified
- Asset tag reconciled to fixed asset register
- Location and condition documented
- Missing assets investigated
- Report submitted to Controller by December 15th

Frequency by asset type:

- Computer equipment: Annual
- Vehicles: Annual
- Office furniture: Every 2 years
- Machinery/equipment: Annual
- Building improvements: Every 3 years

Missing assets over $10,000 require CFO notification within 24 hours.

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11. DEPRECIATION SCHEDULES AND METHODS

11.1 Depreciation Method

TechCorp uses straight-line depreciation for all assets. Monthly depreciation calculated as:

Monthly Depreciation = (Cost - Salvage Value) / (Useful Life in Months)

Salvage value assumed to be zero unless specific residual value documented at acquisition.

11.2 Depreciation Timing

- Depreciation begins first day of month following in-service date
- Full month depreciation charged regardless of day placed in service
- Depreciation continues until fully depreciated or disposed
- No partial month depreciation in disposal month

Example: Asset costing $60,000 with 5-year life placed in service March 20:

- Monthly depreciation: $60,000 / 60 months = $1,000
- First depreciation: April 1
- Fully depreciated: March 31 (5 years later)

11.3 Component Depreciation

For complex assets with separable components having different useful lives:

Building with HVAC System:

- Building structure: 39-year life
- HVAC system: 15-year life
- Must separately capitalize and depreciate if HVAC cost exceeds $25,000

Computer System:

- Hardware: 3-year life
- Software licenses: 3-year life or license term
- Implementation costs: Capitalized with software

11.4 Leasehold Improvements

Depreciated over shorter of:

- Lease term (including renewal options reasonably certain)
- Estimated useful life of improvement

Example scenarios:

- 10-year lease, 5-year improvement life: Depreciate over 5 years
- 3-year lease, 7-year improvement life: Depreciate over 3 years

- 5-year lease with 5-year renewal option (reasonably certain): Depreciate over 10 years

11.5 Monthly Depreciation Process

Performed by: Fixed Asset Accountant **Timing:** Within 5 business days after month-end

Process:

1. Review new asset additions for prior month
2. Verify in-service dates and asset classifications
3. Run depreciation calculation in fixed asset system
4. Review depreciation report for reasonableness
5. Post depreciation journal entry to GL
6. Reconcile accumulated depreciation accounts

Standard Journal Entry:

Debit: Depreciation Expense $XXX,XXX

Credit: Accumulated Depreciation $XXX,XXX

Entry must include asset class detail for expense allocation.

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12. INTERNAL AUDIT PROCEDURES

12.1 Audit Planning

Annual Audit Plan:

- Developed by Internal Audit Director in Q4
- Risk-based approach prioritizing high-risk areas
- Approved by Audit Committee by December 31st
- Covers all significant processes over 3-year cycle

Quarterly Audit Schedule:

- Q1: Accounts payable and procurement
- Q2: Accounts receivable and revenue recognition

- Q3: Payroll and expense reimbursements
- Q4: Fixed assets and inventory

12.2 Audit Process

Planning Phase (Week 1):

- Define audit objectives and scope
- Identify key controls to test
- Request documentation
- Schedule entrance meeting

Fieldwork Phase (Weeks 2-4):

- Review policies and procedures
- Interview process owners
- Test control effectiveness (sample size 25-30 transactions)
- Document findings and control deficiencies
- Perform walkthroughs

Reporting Phase (Week 5):

- Draft audit report with findings
- Rate findings: Critical, High, Medium, Low
- Management response requested
- Exit meeting with management
- Final report issued

Follow-up (60-90 days post-report):

- Verify corrective actions implemented
- Re-test previously failed controls
- Close findings or escalate to Audit Committee

12.3 Audit Findings Classification

Critical: Material weakness in internal controls, immediate CFO escalation required, 30-day resolution deadline

High: Significant deficiency, CFO notification, 60-day resolution

Medium: Control improvement opportunity, 90-day resolution

Low: Best practice recommendation, 120-day resolution

12.4 Continuous Monitoring

Automated Analytics (Monthly):

- Duplicate payment detection
- Vendor master file changes
- Segregation of duties violations
- Journal entry analysis (high-risk patterns)
- Expense report outliers
- Unusual cash transactions

Red Flags Triggering Investigation:

- Payments to new vendors over $25,000 within 30 days of setup
- Wire transfers outside business hours
- Manual checks exceeding 5% of monthly volume
- Round-dollar invoices over $10,000
- Voided transactions followed by similar transactions
- Employee expense reports exceeding 150% of average

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13. INTERNAL CONTROLS FRAMEWORK

13.1 Segregation of Duties

Critical functions must be segregated:

Cash Receipts: Person opening mail ≠ Person recording receipts ≠ Person depositing funds

Cash Disbursements: Person approving invoices ≠ Person preparing payments ≠ Person signing checks

Payroll: Person entering timesheets ≠ Person reviewing/approving ≠ Person processing payroll

Fixed Assets: Person requesting assets ≠ Person approving purchase ≠ Person receiving assets

Journal Entries: Person preparing ≠ Person reviewing ≠ Person posting (entries over $25,000)

13.2 Access Controls

System Access Principles:

- Least privilege: Minimum access required for job function
- Role-based: Access granted by position, not individual
- Review: Quarterly access review and re-certification
- Termination: Access removed within 2 hours of termination

Approval Requirements:

- New user access: Department manager + IT Manager
- Access modification: Manager approval + IT verification
- Elevated privileges: CFO approval required
- System administrator: CEO approval

Password Requirements:

- Minimum 12 characters
- Combination of upper, lower, numbers, special characters
- Changed every 90 days
- No password reuse (last 12 passwords)
- Multi-factor authentication for financial systems

13.3 Physical Controls

Check Stock:

- Stored in fireproof safe with dual-custody requirement
- Access log maintained
- Quarterly physical count
- Pre-numbered and sequence tracked

Cash/Petty Cash:

- Locked safe or drawer
- Access limited to designated custodian
- Surprise counts performed quarterly
- Maximum balance limits enforced

Credit Cards:

- Assigned to specific employees (no sharing)
- Physically controlled by cardholder
- Monthly reconciliation required
- Reported lost/stolen within 24 hours

Fixed Assets:

- Physical security measures (locks, alarms)
- Asset tags visible and durable
- Annual physical verification
- Insurance coverage reviewed annually

13.4 Documented Procedures

All financial processes must have:

- Written procedures updated annually
- Process owner identified
- Approval workflows documented
- Exception handling defined
- Training materials maintained

- New employee training within 30 days of hire

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14. FRAUD PREVENTION AND DETECTION

14.1 Fraud Risk Assessment

Annual fraud risk assessment includes:

- Identification of fraud schemes by process
- Evaluation of likelihood and impact
- Assessment of existing controls
- Remediation plan for gaps
- Board reporting on fraud risks

High-Risk Areas:

- Vendor master file manipulation
- Ghost employees in payroll
- Expense report fraud
- Check tampering
- Financial statement manipulation
- Asset misappropriation
- Corruption and bribery

14.2 Preventive Controls

Vendor Management:

- Dual approval for new vendor setup
- Callback verification for banking changes
- Vendor master file access restricted to 2 employees
- Quarterly vendor file analysis for duplicates
- Annual vendor verification letters

Payment Controls:

- Positive Pay for all disbursement accounts
- Dual authorization for payments over $50,000
- No checks payable to cash
- Voided checks physically defaced
- Signature stamps prohibited

Payroll Controls:

- Payroll changes require written documentation
- Department manager review of payroll reports before processing
- Terminated employees removed within 2 hours
- W-4 forms verified by HR
- Direct deposit changes validated via callback

Expense Report Controls:

- Original receipts required over $25
- Manager approval mandatory
- Random sampling and verification
- Duplicate detection software
- Excessive expense report analysis

14.3 Detective Controls

Monthly Analytics:

- Vendor payments to employees (name matching)
- Duplicate vendor tax ID numbers
- Duplicate bank account numbers
- Vendor address matches employee address
- Payments just under approval thresholds
- Sequential invoice numbers from same vendor

Quarterly Reviews:

- Vendor file changes audit trail
- User access review and recertification
- Journal entry review (high-risk characteristics)
- Payroll exception reports
- Bank reconciliation items aging analysis

14.4 Fraud Response Plan

Upon Suspected Fraud:

Immediate Actions (Within 24 hours):

- Notify CFO and Internal Audit Director
- Preserve evidence (do not alert suspect)
- Secure physical and electronic evidence
- Restrict system access if necessary

Investigation Phase (Days 2-10):

- Engage external forensic specialist if over $50,000
- Interview witnesses (not suspect initially)
- Review documentation and transactions
- Quantify loss amount
- Assess control weaknesses

Resolution Phase (Days 11-30):

- Employee disciplinary action (up to termination)
- Law enforcement notification if criminal
- Insurance claim filed if applicable
- Recovery efforts initiated
- Implement control remediation

Reporting Requirements:

- CFO notified immediately

- CEO notified within 24 hours if over $10,000
- Board Audit Committee notified within 48 hours if over $50,000
- External auditors notified per engagement agreement
- Insurance carrier notified per policy terms

14.5 Whistleblower Hotline

Anonymous hotline available 24/7:

- Phone: 1-800-XXX-XXXX
- Web portal: ethics.techcorp.com
- Email: ethics@techcorp.com

Protections:

- No retaliation policy enforced
- Confidentiality maintained
- Good faith reports protected even if unsubstantiated
- Quarterly report to Audit Committee on hotline activity

All reports investigated within 10 business days of receipt. Retaliation against whistleblowers subject to immediate termination.

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15. YEAR-END CLOSING PROCEDURES

15.1 Pre-Close Planning (December)

December 1-15:

- Review significant accounting policies
- Identify non-standard transactions requiring special treatment
- Communicate with external auditors on timing
- Schedule year-end physical inventories
- Update fixed asset register
- Review debt covenant compliance

- Prepare preliminary tax provision

December 16-31:

- Accrue bonuses and incentive compensation
- Review contracts for revenue recognition issues
- Assess collectability of receivables
- Confirm year-end vacation accrual
- Review legal matters for contingencies
- Prepare preliminary bad debt reserve calculation

15.2 Year-End Closing Timeline

January 2-5 (Days 1-4):

- Accounts payable: Accrue for goods/services received
- Accounts receivable: Final December invoicing
- Inventory: Physical count and valuation
- Prepaid expenses: Review and adjust
- Fixed assets: Record December additions, disposals
- Depreciation: Calculate and record December depreciation

January 6-10 (Days 5-9):

- Bank reconciliations completed
- Intercompany account reconciliations
- Investment valuation and income accrual
- Employee benefit accruals (401k, health insurance)
- Warranty and return reserve calculations
- Sales tax payable reconciliation

January 11-15 (Days 10-14):

- Income tax provision calculation
- Deferred tax asset/liability computation

- Reserve analyses (bad debt, inventory obsolescence)
- Contingent liability assessment
- Subsequent events review
- Management representation letter preparation

January 16-20 (Days 15-19):

- Draft financial statements prepared
- Footnote disclosures drafted
- Management discussion and analysis
- CFO comprehensive review
- Preliminary package to external auditors

15.3 Audit Coordination

Audit Planning (November):

- Entrance meeting with external auditors
- Prepare schedules and documentation list
- Identify significant accounting issues
- Schedule audit team workspace

Audit Fieldwork (January 20-February 15):

- Provide requested schedules within 48 hours
- Daily audit issues meeting at 4:00 PM
- Resolve open items promptly
- Maintain audit status tracker

Audit Completion (February 16-28):

- Review draft audit report
- Resolve all outstanding items
- Management representation letter signed
- Closing meeting with audit team

- Post-audit implementation of recommendations

15.4 Final Financial Statements

March 1:

- Audited financial statements finalized
- Audit report signed by external auditors
- Board presentation materials prepared

March 10:

- Board approval of audited financials
- Financial statement distribution to stakeholders

March 15:

- Annual report publication
- Form 10-K filing (if applicable)

15.5 Tax Compliance

Federal Income Tax Return:

- Form 1120 due April 15 (or March 15 with automatic extension)
- Extension request filed by March 15
- Final return filed by September 15 if extended
- Tax provision to return reconciliation documented

State Income Tax Returns:

- Filed in all states with nexus
- Due dates vary by state (generally 15th day of 4th month)
- Extensions requested as needed

Sales and Use Tax:

- Year-end sales tax payable reconciliation
- Verify all jurisdictions properly accrued
- Resolve any audit issues before year-end

1099 Reporting:

- Forms 1099-NEC and 1099-MISC filed by January 31
- Form 1096 summary filed by February 28
- Electronic filing required if over 250 forms

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16. DOCUMENT RETENTION POLICY

All financial documents retained per following schedule:

Permanent Retention:

- Audited financial statements
- General ledgers
- Chart of accounts
- Fixed asset records
- Tax returns (all types)
- Board minutes

7-Year Retention:

- Accounts payable invoices and supporting documentation
- Accounts receivable invoices
- Bank statements and reconciliations
- Canceled checks
- Expense reports
- Purchase orders
- Credit card statements
- Contracts and agreements

3-Year Retention:

- Vendor and customer correspondence
- Petty cash vouchers

- Deposit slips
- Monthly financial reports

Documents stored electronically in secure, backed-up system. Paper records scanned and stored in offsite facility. Destruction of documents requires Controller approval with documented retention certification.

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17. COMPLIANCE CERTIFICATION

All employees with financial responsibilities must annually certify compliance with this manual. Annual certification includes:

- Acknowledgment of reading and understanding procedures
- Confirmation of compliance with all applicable controls
- Disclosure of any known violations
- Commitment to report suspected fraud or violations

Certification deadline: January 31st annually. Non-compliance subject to disciplinary action up to termination.

Manual Review and Approval:

Prepared by: Controller
Reviewed by: CFO
Approved by: CEO

Next Scheduled Review: January 2027
